this process can be extended to other activities such as trading across borders and paying taxes. This will require detailed mapping exercises and setting up of a 'best practices' framework.

Easier Compliance after Growth: Enabling compliance ratings of MSMEs (through ISO-like common standards) and allow easier compliance norms to firms with higher ratings. Easier norms can take the form of simpler procedures (such as self-certification) across government departments. For instance, a company with a good history of tax compliance should be treated as a good citizen when it deals with the pollution control board. Over time, high compliance ratings could also act as a signal to financiers and enable easier access to credit.

Easy Exit: The arduous process of exit for unsuccessful companies needs to be made simpler, faster, and cheaper.

Transforming Employment Exchanges: Transforming the 1,000-odd employment exchanges across states into career centres offering counselling, assessments, apprenticeships, training, and jobs.

Improving Statutory Pre-emptions: Currently for low wage workers in formal employment, the plethora of statutory pre-emptions, especially for provident fund and health insurance, can lead to very low net salary and act as disincentive to formal employment. The value and benefits received from these pre-emptions can be improved by encouraging competition between different pension and health schemes.

Reducing Attractiveness of Staying Small: Growing bigger is unattractive in India because some of the benefits targeted at MSMEs are withdrawn while some new regulations and obligations come upon them. Innovative approaches are needed for giving MSMEs the incentive to grow. For instance, new regulations could be kept in abeyance for a period after the MSME crosses the size threshold that would require it to meet the regulation.

II. LABOUR REGULATIONS

India has a number of labour practices that, economists have argued, further impede the creation of productive jobs in the largescale organised sector.